

Press Release



Summary IFRS results 1Q 2024

April 26, 2024. Moscow. Sberbank (hereafter – “the Group” or “Sber” published Interim Summary Consolidated Financial Statements under International Financial Reporting standards (IFRS) (hereafter “the Financial Statements”) for 1Q 2024 and as of March 31, 2024.

Sber net profit for 1Q 2024 reached RUB397.4 bn in accordance with International Financial Reporting Standards (IFRS)

Herman Gref, Chairman of the Executive Board, CEO, stated:

“In 1Q 2024 Sber generated net profit of RUB397.4 bn, with growth exceeding 11% y/y. Return on equity reached 24.2%.

The Group business dynamics matched our expectations: total loan portfolio grew by 1.1% year to date. Sber increased market shares in consumer loans and credit cards. The growth of mortgage loan portfolio amounted to 0.8% on the back of high interest rates and changes in the terms of the state subsidy programs. A strong growth of retail client funds at +2.4%, atypical for the beginning of the year, will support our business momentum going forward.

Sber is continuously enhancing the efficiency and accuracy of AI solutions. In 1Q 2024, we presented updates to GigaChat Pro and GigaChat Lite models, as well as released the GigaChat Lite+ model for business with increased context. In addition, the resolution of images of our new version of neural network Kandinsky reached 4K and the speed of pictures generation is increased tenfold. The combined audience of GigaChat and Kandinsky has already come at 18 mn users.”

Key financial results for the reporting period

1Q 2024

397.4 RUB bn

Group net profit¹

18.56 RUB

Earnings per share (EPS)¹

24.2 %

ROE

13.9 %

Capital adequacy ratio (N20.0)²

Key Client Activity Metrics

mn, unless stated otherwise	31.03.2024	31.12.2023	year to date change
Number of active retail clients	108.8	108.5	0.3
MAU – SberBank Online app (app+web)	82.5	81.9	0.6
DAU – SberBank Online app (app+web)	43.3	43.7	-0.4
Number of active corporate clients	3.2	3.2	-

- Number of active retail clients increased by 0.3 mn to 108.8 mn, the number of corporate clients at 3.2 mn.
- Number of active monthly users (MAU) of SberBank Online (app+web) came at 82.5 mn, while number of daily users (DAU) – 43.3 mn. The DAU/MAU ratio was 52.5%.
- Number of loyalty program SberSpasibo users rose by 4.0 mn since the beginning of the year to 81.2 mn.
- Number of Sber ID users, a unified login that gives access to services of Sber and partners, increased by 6.0 mn to 81.0 mn in 1Q 2024.
- Number of SberPrime users came at 10.6 mn (+0.6 mn in 1Q 2024).
- Combined user base of Sber's AI services, GigaChat and Kandinsky, reached 18 mn by the end of 1Q 2024.

Group Income Statement Highlights

RUB bn, unless stated otherwise	1Q 2024	1Q 2023	change 1Q 2024 / 1Q 2023
Net interest income	699.9	562.8	24.4%
Net fee and commission income	184.1	171.1	7.6%
Operating income before provisions	801.9	733.4	9.3%
Net charge related to change in asset quality ³	-53.3	-84.2	-36.7%
Staff and administrative expenses	-227.6	-181.9	25.1%
Net profit	397.4	357.2	11.3%
Earnings per ordinary share, RUB	18.56	16.78	10.6%

Key financial ratios

Return on equity ⁴	24.2%	25.0%	-0.8 pp
Return on assets ⁵	3.0%	3.4%	-0.4 pp
Net interest margin	5.88%	5.78%	0.1 pp
Cost of risk (amortized cost and FV loans)	0.5%	1.1%	-0.6 pp
Cost-to-income ratio	28.4%	24.8%	3.6 pp

Net interest income rose by 24.4% y/y to RUB699.9 bn in 1Q 2024 on the back of increasing volume of working assets.

- Net interest margin amounted to 5.88% in 1Q 2024 and decreased by 38 bp compared to the previous quarter.

Net fee and commission income increased by 7.6% y/y to RUB184.1 bn mainly from growth in income from cash and settlement transactions, acquiring volume and documentary commissions.

- Total payments, transfers and acquiring volume expanded by 26% y/y in 1Q 2024.

- Clients can now order not only SberCards for their children in SberBank Online app but also children's stickers. With the help of these stickers, young bank customers from 6 to 13 years of age can make purchases by contactless means and withdraw cash at ATMs.
- Payments using biometrics are becoming increasingly popular among Sber clients, who use it not only for daily purchases but also for large transactions.
- In 1Q 2024, Sber clients paid for more than 2 mn purchases with their smile.

The Group operating income before provisions rose by 9.3% y/y to RUB801.9 bn in 1Q 2024 thanks to growth in net interest income and commission income.

Net provision charge against credit quality deterioration, including revaluation of loans at fair value, decreased by 36.7% y/y to RUB53.3 bn.

- **Cost of risk** decreased by 0.6 pp y/y in 1Q 2024 and amounted to 54 bp.

Operating expenses of the Group rose by 25.1% y/y to RUB227.6 bn.

- **Cost-to-income ratio** amounted to 28.4% in 1Q 2024, which reflects Sber's high operational efficiency.

Sber **Net profit** rose by 11.3% y/y to RUB397.4 bn in 1Q 2024.

Group Balance Sheet Highlight

RUB bn, unless stated otherwise	31.03.2024	31.12.2023	year to date change
Gross loans⁶:	39 824	39 381	1.1%
Corporate loan portfolio	23 346	23 306	0.2%
Retail loan portfolio	16 478	16 075	2.5%
Client funds:	38 577	36 694	5.1%
Retail deposits	23 460	22 905	2.4%
Corporate deposits	15 117	13 789	9.6%
Net loan-to-deposit ratio	98.8%	102.4%	-3.6 pp

Retail loan portfolio rose by 2.5% since the beginning of the year and reached RUB16.5 trn. Consumer loans and credit cards were the main drivers behind the growth, while mortgage lending remained under pressure from high interest rates. Yield on retail loans increased by 0.8 pp since the beginning of the year to 14.9%.

- Sber retail loan market share came at 47.2%.
- The share of retail product sales through digital channels increased by 6.5 pp in 1Q 2024 to exceed 73%.
- **Mortgage loan portfolio** rose by 0.8% since the beginning of the year to RUB10.3 trn.
 - Mortgage loan issuances amounted to RUB450 bn in 1Q 2024.
 - In 1Q 2024, Sber improved the terms of state subsidized mortgages for payroll clients, as well as for those who are buying

real estate from developers that receive project financing from Sber.

- **Consumer loan portfolio** rose by 2.4% since the beginning of the year to RUB4.0 trn.
 - Consumer loans issuance exceeded RUB742 bn in 1Q 2024.
 - Sber share in consumer loan rose by 0.8 pp since the beginning of the year to 40.2%.
 - Starting from 1Q 2024, self-employed individuals who use Sber service "Own business" received more interesting conditions on consumer loans with a lower rate by 1 pp.
 - At the end of 1Q 2024, more than 1.8 mn self-employed users were registered in the service.

- **Credit card portfolio** rose by 10.2% in 1Q 2024 and amounted to RUB1.8 trn.
 - Sber credit card market share increased by 0.3 pp in 1Q 2024 to 50.5%.
 - Number of credit card holders amounted to 26.5 mn.

Corporate loan portfolio rose by 0.2% since the beginning of the year (+0.5% excluding adjustment for the impact of FX revaluation⁷) and amounted to RUB23.3 trn. The yield on corporate loans in 1Q 2024 rose by 0.9 pp since the beginning of the year to 12.2%.

- In 1Q 2024, Sber issued RUB4.5 trn in corporate loans with stable credit quality.
- Residential real estate sector remains one of the main growth drivers. Residential real estate loan portfolio rose by 2.5% in 1Q 2024 and exceeded RUB4 trn RUB.
- SME loan portfolio rose by 5% in 1Q 2024 and reached RUB5.9 trn⁸, while Sber share amounted to 45%⁹.
 - Sber led the banking sector ranking in SME lending in 2023¹⁰.

Retail funds reached RUB23.5 trn, showing growth of 2.4% since the beginning of the year (+1.9% excluding adjustment for the impact of FX revaluation⁷). The cost of retail deposits rose by 1.6 pp during the quarter to 6.0%.

- Sber has extended the period of increased rates on basic savings accounts for up to three months.
 - Terms were improved for savings accounts “Daily %”, “Savings account Premier”, “Savings account Leader”; interest rates on those accounts reached up to 15%.

Corporate funds rose by 9.6% since the beginning of the year (+8.8% excluding adjustment for the impact of FX revaluation⁷) to RUB15.1 trn. The cost of corporate deposits rose by 1.3 pp to 10.0% in 1Q 2024.

Net LDR ratio decreased to 98.8% at the end of 1Q 2024. (-3.6 pp in 1Q 2024).

Key Asset Quality Metrics

%, unless stated otherwise	31.03.2024	31.12.2023	year to date change
Stage 3 + POCI loans / total gross loans at amortized cost	3.5%	3.4%	0.1 pp
Provision coverage of Stage 3 + POCI loans	128.5%	142.2%	-13.7 pp

The quality of the loan portfolio in 1Q 2024 remained stable at a high level. The share of Stage 3 and POCI loans amounted to 3.5%.

Total provision coverage of impaired loans decreased to 128.5%, as a portion of outstanding loans were reclassified as at FV.

Selected Group Capital Adequacy Results

RUB bn, unless stated otherwise	31.03.2024	31.12.2023	year to date change
Common equity Tier 1 capital	6 407.0	6 097.8	5.1%
Tier 1 capital	6 557.0	6 247.8	4.9%
Total capital	6 669.2	6 467.2	3.1%
Risk-weighted assets	47 547.0	46 295.6	2.7%
Common equity Tier 1 capital adequacy ratio	13.5%	13.2%	0.3 pp
Tier 1 capital adequacy ratio	13.8%	13.5%	0.3 pp
Total capital adequacy ratio	14.0%	14.0%	0.0 pp
Capital adequacy ratio for the Group N20.0 ²	13.9%	13.8%	0.1 pp
Book value per share¹¹, RUB	305.7	291.5	4.9%

Common equity Tier 1 capital rose by 5.1% in 1Q 2024 to RUB6.4 trn. Total capital increased by 3.1% during the quarter and amounted to RUB6.7 trn.

The Group risk-weighted assets amounted to RUB47.5 trn, increasing by 2.7% during the quarter on the back of loan portfolio growth and regulatory macro add-ons in the retail segment. **RWA density** increased to 85.9%.

In 1Q 2024, **Common equity Tier 1 capital and Tier 1 capital adequacy ratio** rose by 0.3 pp to 13.5% and 13.8% respectively, while **total capital adequacy** came at 14.0%.

Capital adequacy ratio for the Group N20.0 rose by 10 bp since the beginning of the year to 13.9%².

Technological Leadership

Technological leadership remains a key element of Sber's development strategy. And we can already see how our solutions gain market preference.

- At present, AI has been implemented in 85% of Sber's processes. And in 2024, the financial effect from implementation of AI solutions may exceed RUB400 bn.
- In 1Q 2024 Sber presented updates to its AI services: **GigaChat Pro** and **GigaChat Lite** models became smarter and more powerful in all major metrics for solving user tasks.
 - The training datasets in such areas as economics, law, and medicine have been updated. The models have undergone training based on the knowledge of real experts, including editors and artists, thanks to which the skill of creating images with Kandinsky has improved.
 - The **GigaChat API**, the software access interface to the GigaChat neural network model, added a feature to form vector representations of texts, the embeddings. They are used to assess the semantic similarity of texts, increase the accuracy of answers from the language model, and simplify the solution of information search and classification tasks.
- In April, Sber presented an updated version of the image generation neural network, **Kandinsky 3.1**, exactly one year after the release of the first. The speed of generating images has increased almost tenfold, and the resolution of the images in the new version reaches 4K.
- Combined user base of Sber neural networks, **GigaChat** and **Kandinsky**, has reached 18 mn users in 1Q 2024.
 - Among them, more than 4 thousand Sber corporate clients already use **GigaChat**.
- The share of regions with Sber's AI solutions has reached 56%. The goal this year is to make Sber AI services available in 80% of the country's regions.
- Sber introduced AI service "**Tutor assistant**", which can automatically transform audio recording of a lesson into text, analyze and demonstrate detailed report of the lesson in different characteristics (time management during the lesson, use of various communication techniques, regulation of the teacher's speech pace).
- On March 1, 2024, a large Russian open Git repository called **GitVerse** was launched. About 20,000 developers have registered on the platform so far.
 - Users also have the option to use the built-in developer AI assistant GigaCode to accelerate code writing.
- Compliance with information security rules helps ensure the uninterrupted operation of the entire Sber infrastructure.
- The number of **technology implementations and changes** increased by 60% y/y in 1Q 2024, while the number of highly prioritized incidents remained at minimum.

ESG

Sber's focus remains on the sustainable development of the Group, as well as on helping our clients implement ESG practices.

- At the end of 1Q 2024, the responsible banking portfolio, which includes green, social and ESG loans, reached RUB3.0 trn.
 - More than half of the portfolio attributed to real estate and construction sectors.
- Sales of non-credit ESG products in 1Q 2024 came at RUB 142 mn.
 - At the moment, there are over 20 non-credit ESG products available in Sber for various business segments. At the beginning of the year, a new ESG product was launched that allows companies to manage risks related to fire safety of companies.
- Sber and VEB.RF have launched an interactive ESG index for cities and regions of Russia, which includes indicators for 16 factors of sustainable development and will be updated annually.
 - The index is designed to help territories address their strategic development challenges through the prism of environmental, social, and managerial responsibility, and to create a new convenient platform for exchanging experience in successfully implementing sustainable development projects.
- At the seminar of central banks of BRICS countries in Brazil, Sber initiated the creation of the BRICS Climate Council with the aim of forming a cooperation mechanism between BRICS countries in the field of climate, green economy, and sustainable development at the supranational level.

Sber actively supports various educational programs and initiatives aimed at educating the youth.

- Sber was recognized as the best employer for students among Russian banks.
- At the World Youth Festival, Sber held SberEcoLabs - a series of lectures and practical sessions for high school students. Participants from 15 countries worked together on finding solutions to humanity's climate and ecological challenges within the ecolab.

Sber won the HR award Team Awards in the nomination "HR Ambassadors of the Year" with the project of the Ambassador Academy.

- In the nomination, success stories were evaluated in the field of creating and developing teams of active employees promoting the employer's brand.
- The Ambassador Academy appeared in Sber in 2020, and today there are more than 400 participants in it.

Conference call details

April 26, 2024 at 11:00 MSK

Main Russian line

Topic: IFRS 1Q 2024

To connect to the conference using link below:
<https://jazz.sber.ru/5vs9lf?type=webinar&role=VIEWER&psw=OEsRDR4NEkQbWxYbQRkFVxRRCw>

Conference code: 5vs9lf@jazz.sber.ru

Password : 8shliw2r

English (listen-only)

Topic: IFRS 1Q 2024

To connect to the conference using link below:
<https://jazz.sber.ru/w2ezl2?psw=OBZQFQsDVQUbBlcDVBdCFhQMSg>

Conference code: w2ezl2

Password: e2pyg0sr

¹ Includes discontinued operations. Basic earnings per share is calculated by dividing the profit (loss) attributable to shareholders holding ordinary shares of the Bank, or from profit or loss from continuing operations, by the weighted average number of ordinary shares outstanding during the period, less treasury shares repurchased from shareholders.

² Operating results.

³ Includes net expenses from provisioning for loans and revaluation of loans at Fair Value due to changes in credit quality.

⁴ Excluding the subordinated loan agreement in the amount of RUB150.0 bn classified as equity financial instrument that was previously ceded by the Bank of Russia in favor of the Ministry of Finance.

⁵ Based on profit from continuing operations.

⁶ Before loan loss allowance.

⁷ Based on management accounts.

⁸ According to the list of SMEs included in the register of the Federal Tax Service as of 31.03.2024.

⁹ As of 29.02.2024.

¹⁰ Based on ExpertRA research.

¹¹ Total equity attributable to shareholders of the Bank / Total numbers of shares outstanding (ordinary + preferred).

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